UNIVERSITÀ DEGLI STUDI DI BERGAMO
Dipartimento di Scienze Aziendali

Strategic Management Accounting

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The Sustainable Balanced Scorecard

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Learning Objectives

1. Explain the ESG responsibilities and why environmental, social and governance goals must be linked to strategy, not reported on the side.
2. Distinguish market and non-market aspects, and use double materiality to choose what to measure.
3. Describe the three architectures of a sustainable balanced scorecard and when each fits.
4. Place sustainability measures in a strategy map and see how a real company connects them to its strategy.



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Why sustainability belongs in the scorecard

Section I

The Sustainable Balanced Scorecard

From shareholders to stakeholders

FRIEDMAN, 1970

Shareholder view

The responsibility of business is to increase its profits.

What counts: **financial results** for the owners.

FREEMAN, 1984

Stakeholder view

A stakeholder is any group or individual who can affect or is affected by the company's activity.

What counts: results for **all stakeholders**.

Stakeholders of different nature: employees, consumers, suppliers, local communities, institutions and authorities, NGOs.

Firms are **open systems**: accountability, competitive advantage and long term survival depend on their relations with the internal and external environment.

The triple bottom line: people, planet, profit

PEOPLE

Social performance

Employees, workers in the supply chain, customers' health and safety, local communities, human rights.

PLANET

Environmental performance

Emissions, energy, water, materials, waste, biodiversity.

PROFIT

Economic performance

Value created for owners and for the economy: sales, margins, returns, jobs, taxes.

The idea, proposed by **John Elkington** in the 1990s: a company should be judged on three bottom lines, not one. The open question is how the three are **managed together**.

ESG: three sets of responsibilities

Investors, customers, employees, suppliers, regulators and communities judge a company on three criteria. **Governance** is the new word: without it, environmental and social performance do not improve.

E Environmental

How processes, policies, products and packaging improve environmental sustainability.

- Less packaging waste, carbon emissions and water
- Renewable energy, green buildings, responsible sourcing
- Recycling and biodiversity

S Social

How the company improves the health, wellbeing and rights of its stakeholders.

- Employees: training, fair wages, a safe workplace
- Suppliers: no child labour
- Customers: data privacy, safe products
- Community: local hiring, education

G Governance

The policies and practices used to direct and control the company.

- A diverse, qualified board
- An ESG culture and ethical decisions
- Transparent reporting
- Executive pay linked to ESG

Four pressures that make it strategic

Regulation

Sustainability reporting and due diligence rules in the EU; carbon pricing; product rules.

Investors and banks

ESG ratings, sustainable finance, loan conditions tied to sustainability targets.

Customers and supply chains

Large customers ask suppliers for emissions data, certifications and codes of conduct.

People

Graduates and employees look at a company's purpose and practices when they choose where to work.

EU rules: who must report, and what

The CSRD is the EU directive on sustainability reporting. In 2026 the **Omnibus I** directive simplified it. In short:

WHO

1,000+

employees **and** more than €450 million turnover

WHEN

2027

first financial year covered; first reports in 2028

WHAT

ESRS

European Sustainability Reporting Standards, simplified, with fewer data points

CHECKED BY

Auditor

limited assurance on the sustainability report

How topics are chosen: double materiality, impacts on people and planet **and** financial risks and opportunities.

Why it matters for the scorecard: what a company must report, it must first measure; the scorecard gives each measure a target and an owner.

Directive (EU) 2026/470 (Omnibus I), published 26 February 2026; transposition by 19 March 2027.

Double materiality: two directions of looking

INSIDE OUT

Impact materiality

How does the company affect people and the environment?

OUTSIDE IN

Financial materiality

How do environmental and social issues affect the company's results and risks?

A topic is **material** if it matters in **either** direction. For the scorecard, these are the candidates for measures.

The usual problem: sustainability on the side

A separate report

Written once a year for external readers, not used in monthly management.

A separate department

The sustainability team owns the topic; line managers do not.

No link to strategy

Targets are not derived from the value proposition, so they compete with it.

No link to rewards

Managers are paid on financial results only, so sustainability loses every trade-off.

Result: good intentions, little change in decisions, and a risk of **greenwashing**.

DEFINITION

A sustainable balanced scorecard links environmental and social aspects to the company's strategy, so that they are managed inside the core business.

It is not a new tool. It uses the logic of the balanced scorecard: derive, link, measure, test.



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Where does each aspect go?

Section II

The Sustainable Balanced Scorecard

Market and non-market aspects

Market aspects

HOW THEY ACT

Through markets: customers, suppliers, prices, costs.

EXAMPLES

Energy cost, demand for green products, scarce raw materials.

IN THE SCORECARD

Fit the four classic perspectives.

Non-market aspects

HOW THEY ACT

Outside markets: laws, public opinion, communities, NGOs.

EXAMPLES

Licence to operate, NGO campaigns, new regulation, reputation.

IN THE SCORECARD

May need a perspective of their own.

Three options for a sustainable scorecard

1

Integrate

Place environmental and social measures inside the four existing perspectives.

2

Add

Create a fifth, non-market perspective for aspects that act through society and politics.

3

Derive

Build a specific environmental and social scorecard, derived from the main one.

The options can be **combined**.

Option 1: integrate into the four perspectives

Perspective	Environmental measure	Social measure
Financial	Revenue from low impact products ↑	Cost of workplace accidents ↓
Customer	Customers who see us as environmentally responsible ↑	Customers who trust our product safety ↑
Internal processes	Energy per unit produced ↓	Suppliers audited on labour standards ↑
Learning and growth	Employees trained on environmental practices ↑	Female to male average pay ↑

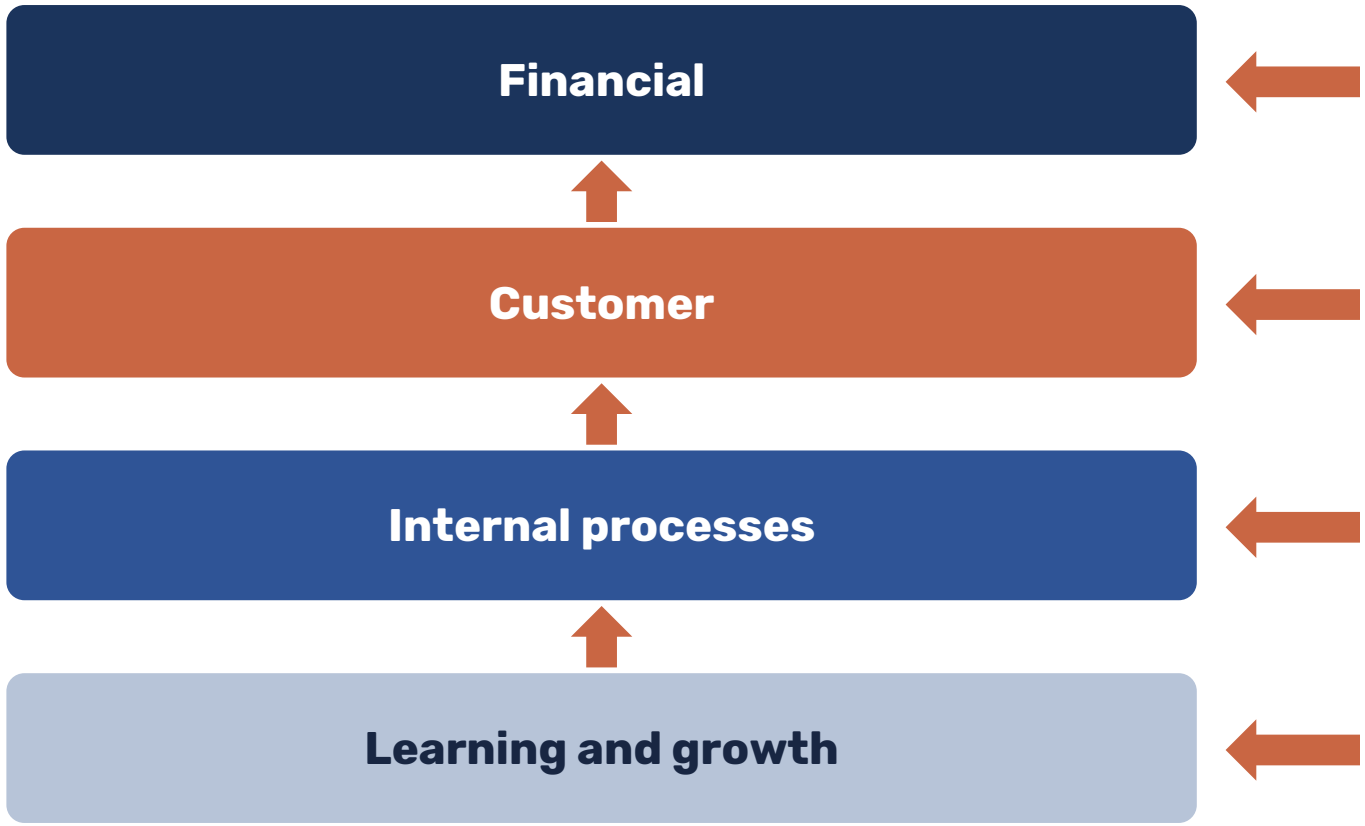
Strength

Sustainability sits **inside the main chain** of cause and effect and is managed by line managers, like any other measure.

Limit

The four boxes only see aspects that reach the company **through markets**. Residents opposing a new plant act through permits and public opinion: here they have **no natural place**. **Option 2 solves this.**

Option 2: add a non-market perspective



Non-market perspective

Society, regulators, NGOs, local communities, media.

Measures: community complaints ↓, open regulatory issues ↓, stakeholder trust ↑.

Used when non-market aspects are **strategically relevant** and cannot be placed elsewhere.

Option 3: derive a specific scorecard

- A dedicated environmental and social scorecard, for example for the **sustainability unit** or for a **supplier programme**.
- It is **derived** from the main scorecard: it details objectives already placed there.
- **Used alone**, it brings back the silo problem: a separate world with separate goals.



Second choice: what sits at the top of the map?

The three options say **where** sustainability goes. The second choice says **what the whole map is for**.

BUSINESS CASE

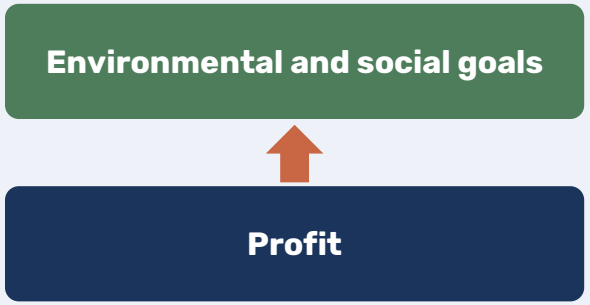
Profit at the top



Sustainability counts because it creates financial value.

MISSION FIRST

Sustainability at the top



Profit is a means, or a limit to respect.

BALANCED

Several goals at the top



Economic, environmental and social results weigh the same.

In the traditional balanced scorecard profit always sat at the top. Here it becomes a choice that reflects the company's **values** (Hansen and Schaltegger, 2016).

Choice 2, balanced: Kaplan and McMillan



The top becomes Outcomes: financial, environmental and social results together. This is the balanced choice.

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Designing and using a sustainable scorecard

Section III

The Sustainable Balanced Scorecard

Designing a sustainable scorecard in three steps

1

Choose the business unit

A scorecard is built for a strategic business unit with its own strategy.

2

Identify the exposure

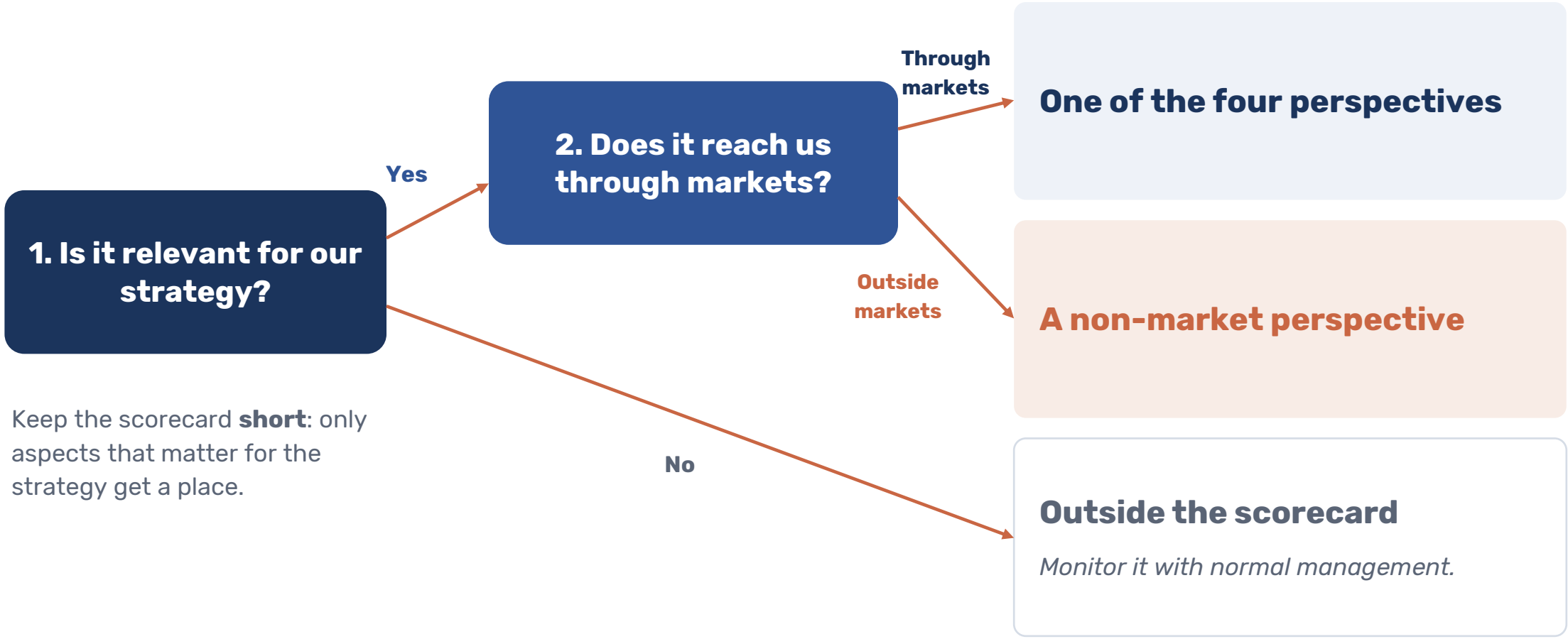
List the environmental and social aspects the unit affects or is affected by.

3

Determine the relevance

Decide which aspects matter for the strategy and where they go in the scorecard.

Step 3: two questions decide where an aspect goes



Keep the scorecard **short**: only aspects that matter for the strategy get a place.

Three kinds of arrow toward profit

Every sustainability measure on a sustainable scorecard needs an arrow toward the financial perspective. That arrow can be of three kinds.

WIN WIN

Good for both

Less energy per unit produced: lower emissions and lower costs at the same time.

TRADE-OFF

Good for one, costly for the other

Paying suppliers above the market price: better lives and better quality, but higher purchasing costs.

MANDATORY

Required anyway

Rules on packaging or reporting: the question is how to comply at the lowest cost.

Many companies bet that a trade off becomes a win win over time. On the map, this bet is an if/then arrow that data must confirm.

Tool or symbol?

No link to strategy

Sustainability measures are listed, but no arrow connects them to the value proposition.

No targets

Numbers are reported without direction, target or date.

Never reviewed

Nobody discusses the measures in management meetings or changes plans because of them.

Only good news

Measures that worsen quietly disappear from the next report.

If you see these signs, the scorecard is a **symbol**, not a management tool.

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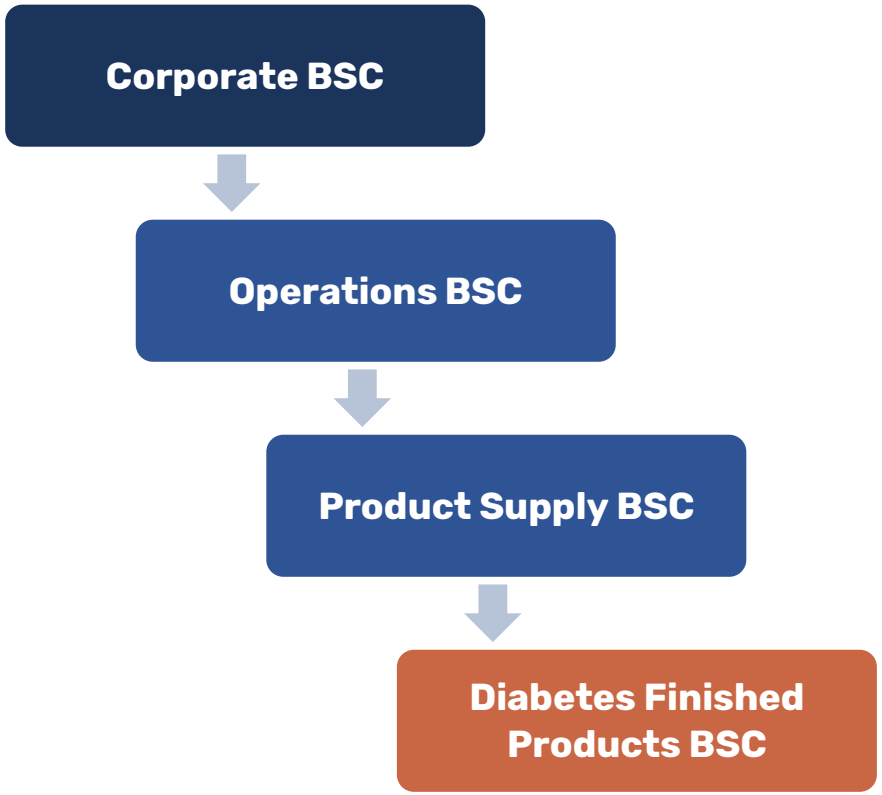
A real case: Novo Nordisk

Section IV

The Sustainable Balanced Scorecard

A cascading balanced scorecard

1. **Company**: one scorecard for Novo Nordisk as a whole.
2. **Executive vice presidents**: the five executive areas.
3. **Senior vice presidents**: twenty business unit scorecards.
4. **Sub-units**, such as a factory: often a set of KPIs, not four perspectives. Optional.
5. **People**: personal targets, set and reviewed twice a year.



The figure follows one branch: operations, product supply, down to one factory.

Conclusions

1. **Why:** stakeholders, rules and markets make environmental, social and governance aspects strategic. Double materiality tells us which ones matter.

2. **What:** the sustainable balanced scorecard is not a new tool. It applies the scorecard's logic, derive, link, measure and test, to environmental and social aspects.

3. **Where:** an aspect is placed by its path. Market aspects go into the four perspectives, non-market aspects into a fifth, details into derived scorecards. The options can be combined.

4. **What for:** what sits at the top of the map, profit, sustainability or both, reflects the company's values.

5. **How:** a scorecard is a tool only with targets, owners, reviews and rewards. Otherwise it is a symbol, and close to greenwashing.